drawn an additional allowance of ₹30 a day for the entire six-month period of his absence from India, a violation of the spirit if not the letter of the rule for providing a healthy allowance while away from headquarters. Taylor took his ‘charge sheet’ to Simla and soon the Viceroy was *au courant* with the happenings at the bank. The Viceroy was understandably alarmed but did not want to embroil the RBI then in its infancy in a controversy. He was sympathetic but cautious. He also felt that Grigg’s temperament was also a contributory factor and was inclined to gloss over the allegations of dishonesty on the ground that they would be difficult to prove and if proved would result in a terrible scandal, the echoes of which would reverberate all the way to Whitehall.

The Viceroy realized that forcing Smith to resign could result in a scandal which would sully the image of the fledgling institution. The government referred the matter to the India Office, who was equally keen to avoid a scandal. It sided with Grigg and Taylor but was a little apprehensive about the response from Montagu Norman and the Bank of England. An emboldened Grigg now demanded that Smith resign without returning to India. The Viceroy wrote to the Secretary of State on September 10, 1936, justifying this decision mainly on the grounds that with the introduction of provincial autonomy, it was vital that the relations between the bank and the government be one of complete confidence, and this was not possible if Smith returned. While the India Office had no objection to Smith’s immediate departure from the bank, the Bank of England advised restraint. Norman and Niemeyer wanted to avoid a controversy and also thought that Smith could still prove to be useful in influencing the Board in certain difficult matters likely to arise in the next six months. Grigg used every power in his command to try and discredit Smith further. In an act that probably has no parallel in central banking history he tapped Smith’s phone and intercepted both his mail and that of his alleged mistress, but he could find nothing damaging against him.[64]

Negotiations continued in London to work out a compromise with meetings being held between the India Office and the Bank of England. Later, these meetings included Smith who was in England at the time. Norman was of the view that Smith could be persuaded to go if he was allowed to meet the Board and explain his resignation and if a suitable honour was bestowed on him. The Secretary of State concurred in the view